

GRAND MOCK TEST: ENTREPRENEURSHIP

LAST DAY REVISION - 50 QUESTIONS (BASED ON SERIES RQPS / CODE 98)

SECTION A: 1-MARK MCQS

1. Idea Fields: "Subir developed a device to collect and freeze rainwater." Identify idea field: (a) Market-driven (b) Natural Resource-based (c) Service-sector (d) Creative effort
2. Which pricing method involves setting a high initial price to recover R&D costs? (a) Penetration (b) Cost-plus (c) Skimming (d) Variable
3. A merger between two companies in the same industry is called: (a) Vertical (b) Horizontal (c) Conglomerate (d) Market Extension
4. In which acquisition does the management of target company oppose the deal? (a) Friendly (b) Hostile (c) Reverse (d) Back-flip
5. Issuing shares to a select group of institutional investors instead of the public is: (a) Public Issue (b) Rights (c) Private Placement (d) Offer to Employees
6. Correct formula for Gross Working Capital: (a) Cash + Debtors + Stock + CA (b) Cash + Creditors + Stock (c) Net Profit + Depr
7. Which is NOT a component of a Brand? (a) Brand Name (b) Brand Mark (c) Trade Mark (d) Price Tag
8. Promotion strategy targeting mass audiences via TV/Radio is: (a) Personal Selling (b) Advertising (c) Direct Marketing (d) Sales Promotion
9. Investor providing capital and acting as a mentor: (a) Venture Capitalist (b) Angel Investor (c) Bank (d) Public
10. ABC analysis, 'A' items represent: (a) Low value/High vol (b) High value/Low vol (c) Low value/Low vol
11. If Billed Amount is ₹350 and Number of Customers is 36, Unit Price is: (a) $350/36$ (b) $36/350$ (c) 350×36
12. In EOQ formula $\sqrt{2DO/C}$, what does 'O' stand for? (a) Output (b) Ordering Cost (c) Opportunity Cost
13. Return on Investment (ROI) is: (a) $(\text{Net Profit}/\text{Total Inv}) \times 100$ (b) $(\text{Sales}/\text{Inv}) \times 100$
14. Trend Spotting method involving talking to customers: (a) Watch (b) Talk (c) Read (d) Think
15. Title page providing brief summary of the business plan is: (a) Executive Summary (b) Operational Plan (c) Production Plan

SECTION B: 2 & 3 MARK QUESTIONS

16. Explain "Read Trends" and "Watch Trends" as ways to spot opportunities.
17. Define "Innovation". List the elements of the innovation process.
18. Explain "Implied Authority" and "Mutual Agency" in a partnership.
19. Name two reasons why Problem Identification helps an entrepreneur.
20. Identify product mix component for differentiation. How does Trademark give legal protection?

21. Operational Plan: Explain (i) Routing (ii) Scheduling.
22. State two advantages a franchisor gains through franchising.
23. Explain "Number of buyers" and "Types of buyers" in choice of distribution channels.
24. Why is a Business Plan considered a "decision-making tool"?
25. List steps in Creative Process (Idea germination, Preparation, Incubation, etc.).
26. Calculate EOQ: Annual Demand=40,000, Ordering Cost=₹100, Holding Cost=₹2/unit.
27. Calculate Gross Working Cap: Cash ₹20k, Debtors ₹2L, Stock ₹80k, Creditors ₹3.5L.
28. Calculate Return on Equity: Net Profit ₹50,000, Equity ₹2,00,000.
29. Case: Firm needs to recruit employees. Identify and explain the specific component of the business plan.
30. Distinguish between "Above-the-Line" (ATL) and "Below-the-Line" (BTL) promotions.
31. Identify PESTEL factor for: "Government ban on plastic bags."
32. Differentiate between "Natural Resource-based" and "Market-driven" ideas with examples.
33. List any four clauses (ingredients) of a Franchise Agreement.
34. State any three features of Angel Investors.
35. Define Cash Conversion Cycle (CCC). How does nature of business affect it?

SECTION C: 5-MARK QUESTIONS

36. **Numerical Break-Even Point (Sales Mix):** Fixed Cost = ₹2,49,000. Calculate (a) Weighted Avg Contribution (b) BEP in Units (c) BEP in Rupees.

Product	SP (₹)	VC (₹)	Mix %
Scrub	155	75	40%
Gel	175	95	30%
Foam	195	105	30%

37. Explain Venture Capital and the stages: Seed Capital, Start-up Stage, Second-Round Financing.
38. Define (a) Synergy in mergers (b) Horizontal vs Vertical Merger (c) Friendly vs Hostile Acquisition.
39. Pricing Case: Unique product, no competitors. (a) Identify strategy (Skimming) (b) Compare vs Penetration (c) Pros/Cons.
40. Explain Primary Market floating methods: Public Issue, Rights Issue, Private Placement, Offer to Employees.
41. Explain features of a Company: Separate Legal Entity, Limited Liability, Transferability, Perpetual Succession.
42. Advertising: Explain the four rules (Aim, Target, Media, Competitors) in planning.
43. Define Franchising. State advantages to both Franchisor and Franchisee.

44. Explain formats: Elevator Pitch, Pitch Deck, Written Presentation for stakeholders.

45. Case: "Chai Cart" opens new branches and products. (a) Identify expansion type (b) Internal vs External expansion.

46. Explain ABC Analysis for inventory control. Why use it?

47. Discuss factors affecting Working Capital (Nature, Scale, Business Cycle).

48. Explain the 4 Ps of Marketing Mix using a hypothetical startup case.

49. Importance of Environmental Scanning: Explain 5 benefits for an entrepreneur.

50. Explain components of Sales Strategy. How it differs from Promotion?

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